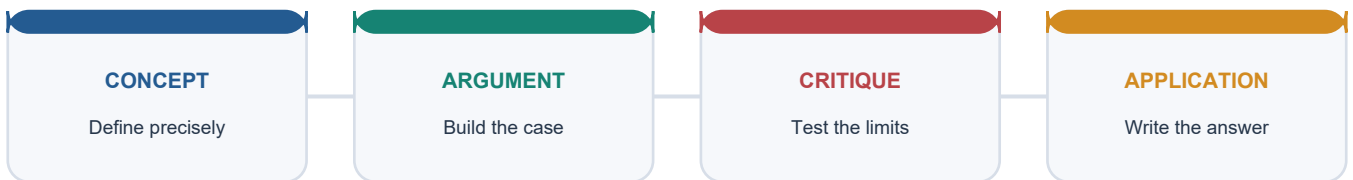


SOLVED PRACTICE WORKBOOK

Taxation, GST, Finance Commission and Fiscal Federalism - Solved Practice Workbook

Economy | UPSC Prelims and GS-III

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Taxation, GST, Finance Commission and Fiscal Federalism - Solved Practice Workbook 4

BASIC MCQS / REMEDIATION 4

MCQ 1	4
MCQ 2	4
MCQ 3	4
MCQ 4	5
MCQ 5	5
MCQ 6	5
MCQ 7	6
MCQ 8	6
MCQ 9	6
MCQ 10	7
MCQ 11	7
MCQ 12	7
MCQ 13	8
MCQ 14	8
MCQ 15	8
MCQ 16	9
MCQ 17	9
MCQ 18	9
MCQ 19	10
MCQ 20	10
MCQ 21	10
MCQ 22	11
MCQ 23	11
MCQ 24	11
MCQ 25	12
MCQ 26	12
MCQ 27	12

MCQ 28	13
MCQ 29	13
MCQ 30	13
MCQ 31	14
MCQ 32	14
PYQS AND ANSWER PRACTICE	14
OFFICIAL-KEY DISCIPLINE	14
VERIFIED ROUTED MAINS PYQ 1 - 2019 GS-III	14
VERIFIED ROUTED MAINS PYQ 2 - 2020 GS-III	15
OBJECTIVE PYQ ROUTING - KEY WITHHELD WHERE NOT LOCALLY VERIFIED	15
ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS	15
ORIGINAL MAINS 1 - 10 MARKS	15
ORIGINAL MAINS 2 - 10 MARKS	16
ORIGINAL MAINS 3 - 15 MARKS	16
ORIGINAL MAINS 4 - 15 MARKS	17
ORIGINAL MAINS 5 - 20 MARKS	17
ORIGINAL MAINS 6 - 20 MARKS	18

Taxation, GST, Finance Commission and Fiscal Federalism - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement best distinguishes statutory from economic tax incidence?

A. Statutory incidence identifies the remitter, while economic incidence follows the final real-income burden after adjustment. B. Both always fall on the person named in the charging section. C. Economic incidence is simply the location of the tax office. D. Statutory incidence is calculated only after consumer prices change.

Answer: A.

Option-wise explanation:

- **A - Correct:** The distinction correctly separates legal remittance from behavioural burden shifting.
- **B - Incorrect:** Law can name a remitter without preventing price, wage or return adjustments.
- **C - Incorrect:** Administrative geography does not identify who loses purchasing power.
- **D - Incorrect:** Statutory liability precedes, rather than waits for, market adjustment.

Examiner trap 1: A tax label cannot establish who ultimately bears the burden.

MCQ 2

Tax buoyancy differs from tax elasticity because buoyancy:

A. Excludes every policy change from the revenue series. B. Includes the revenue effect of discretionary rate, base and compliance changes. C. Measures only inflation-adjusted tax collection. D. Is identical to the tax-to-GDP ratio in one year.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Removing discretionary changes is the purpose of an elasticity estimate.
- **B - Correct:** Buoyancy captures both automatic base growth and policy-induced revenue change.
- **C - Incorrect:** Nominal-versus-real treatment is a separate measurement choice.
- **D - Incorrect:** A level ratio cannot substitute for responsiveness across changes in income.

Examiner trap 2: Never use buoyancy and elasticity as interchangeable responsiveness measures.

MCQ 3

Which description of tax expenditure is correct?

A. It is every amount of tax illegally evaded. B. It is a cash grant that must appear under capital expenditure. C. It is estimated revenue forgone from a preferential tax provision relative to a stated benchmark. D. It equals the full revenue obtainable after abolishing an exemption.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Evasion violates the law and is conceptually distinct from a lawful preference.
- **B - Incorrect:** A tax-code concession need not involve a budget cash payment.
- **C - Correct:** A benchmarked exemption, deduction, credit or deferral can create tax expenditure.
- **D - Incorrect:** Behavioural responses mean the static estimate is not guaranteed recoverable revenue.

Examiner trap 3: Tax expenditure is a benchmark-dependent estimate, not a synonym for evasion.

MCQ 4

Which constitutional statement is correct after the 101st Amendment?

A. GST is an ordinary subject in the Concurrent List alone. B. Article 248 gives States the exclusive residuary taxing power. C. Article 246A abolished all surviving Union and State tax entries. D. Article 246A gives Parliament and State legislatures GST power, while Parliament has exclusive power over inter-State GST.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Article 246A, not a normal List III entry, is the special GST source.
- **B - Incorrect:** Article 248 preserves parliamentary residuary power subject to Article 246A.
- **C - Incorrect:** Non-GST entries and exclusions continue after the amendment.
- **D - Correct:** The special article combines simultaneous intra-State competence with exclusive parliamentary inter-State competence.

Examiner trap 4: Article 246A is special concurrent-like power, not a simple Seventh Schedule entry.

MCQ 5

For an intra-State taxable supply in a State, the ordinary dual levy is:

A. CGST plus SGST. B. IGST alone. C. SGST plus UTGST. D. Basic customs duty plus CGST.

Answer: A.

Option-wise explanation:

- **A - Correct:** The Centre and State levy parallel components on the intra-State supply.
- **B - Incorrect:** IGST ordinarily applies to inter-State supplies.
- **C - Incorrect:** SGST and UTGST are alternative territorial components, not a pair.
- **D - Incorrect:** Basic customs duty concerns imports and is not the ordinary intra-State dual levy.

Examiner trap 5: Do not treat two tax components as two separate underlying supplies.

MCQ 6

What is the central fiscal function of IGST?

A. It permanently assigns all inter-State revenue to the producing State. B. It preserves credit and enables apportionment for inter-State supplies toward the destination jurisdiction. C. It replaces basic customs duty on imports. D. It is an additional levy retained entirely by the Union.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Destination architecture rejects permanent origin-State retention.
- **B - Correct:** IGST is a clearing and settlement bridge across State borders.
- **C - Incorrect:** Import IGST and basic customs duty are legally distinct.
- **D - Incorrect:** Article 269A requires apportionment rather than complete Union retention.

Examiner trap 6: Union collection of IGST must not be confused with sole Union ownership of proceeds.

MCQ 7

Which pairing is correct?

A. Exempt supply - unrestricted credit on all attributable inputs. B. Non-GST petroleum - nil-rated GST supply. C. Zero-rated export - eligible credit/refund route subject to law. D. Nil-rated supply - tax collected at the highest GST rate.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Exempt use ordinarily requires attributable credit restriction or reversal.
- **B - Incorrect:** Outside-GST treatment is not a zero or nil GST rate.
- **C - Correct:** Zero rating protects export neutrality while retaining the statutory credit route.
- **D - Incorrect:** A nil rate means no output GST, not the highest rate.

Examiner trap 7: Zero-rated, exempt, nil-rated and non-GST are four different legal categories.

MCQ 8

Which item is outside GST rather than merely exempt under GST?

A. A notified nil-rated medicine. B. An exempt educational service. C. A qualifying zero-rated export. D. Alcoholic liquor for human consumption.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** A nil-rated medicine remains classified within GST law.
- **B - Incorrect:** An exemption is granted within the GST framework.
- **C - Incorrect:** Exports are zero-rated under the IGST Act rather than outside GST.
- **D - Correct:** The Constitution excludes alcoholic liquor for human consumption from the GST definition.

Examiner trap 8: Outside the levy is not the same as exemption within the levy.

MCQ 9

Under Article 279A, which composition is correct?

A. Union Finance Minister as Chairperson, Union Minister of State for Revenue or Finance, and State-nominated finance or taxation ministers. B. Prime Minister, RBI Governor and all Chief Ministers. C. Finance Commission Chairperson and State Chief Secretaries. D. Union Home Minister and only the five largest States.

Answer: A.

Option-wise explanation:

- **A - Correct:** The Constitution expressly specifies these Union and State ministerial members.
- **B - Incorrect:** Neither the RBI Governor nor a Chief-Minister-only body is prescribed.
- **C - Incorrect:** The Finance Commission is institutionally separate from the GST Council.
- **D - Incorrect:** Every State participates through its nominated minister, not only selected States.

Examiner trap 9: Do not merge the GST Council's membership with other federal institutions.

MCQ 10

A GST Council decision at a meeting requires:

A. A simple majority with equal votes for Centre and every State. B. At least three-fourths of weighted votes of members present and voting. C. Two-thirds of Parliament in a joint sitting. D. Unanimity of every State and the Union.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The voting design is weighted, not one-member-one-vote.
- **B - Correct:** Article 279A(9) prescribes the three-fourths weighted threshold.
- **C - Incorrect:** Parliament does not vote on Council decisions as a joint sitting.
- **D - Incorrect:** Consensus may occur in practice, but unanimity is not the constitutional rule.

Examiner trap 10: Remember both the threshold and the one-third/two-thirds weighting.

MCQ 11

What did Mohit Minerals hold about GST Council recommendations?

A. They automatically amend the CGST and SGST Acts. B. They bind States but not Parliament. C. They have persuasive value and are not binding on Union and State legislatures. D. They are judicial decrees enforceable without legislation.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** A recommendation cannot amend enacted text by itself.
- **B - Incorrect:** The judgment did not create asymmetric binding force against States.
- **C - Correct:** The Court preserved simultaneous legislative power while recognising collaborative dialogue.
- **D - Incorrect:** The Council is a constitutional forum, not a court issuing decrees.

Examiner trap 11: Non-binding recommendations do not make enacted GST law optional.

MCQ 12

Which sequence correctly identifies legal implementation of a GST rate change?

A. Press interview followed by automatic collection. B. Finance Commission report followed by RBI circular. C. Budget speech followed by retrospective State consent. D. Council recommendation followed by authorised notification or legislation and its stated effective date.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Media explanation is not a charging instrument.
- **B - Incorrect:** Neither the Finance Commission nor RBI sets GST rates.
- **C - Incorrect:** A Budget speech does not by itself create the GST liability described.
- **D - Correct:** The recommendation and operative legal instrument must be distinguished.

Examiner trap 12: Always separate recommendation date, notification date and commencement date.

MCQ 13

As documented by the official 56th Council FAQ, most revised GST rates took effect on:

A. 22 September 2025, subject to the separately deferred tobacco transition. B. 1 July 2017 for every revised item. C. 1 April 2026 without exception. D. The date of the Council meeting regardless of notification.

Answer: A.

Option-wise explanation:

- **A - Correct:** The dated FAQ identifies 22 September 2025 for most goods and services.
- **B - Incorrect:** 1 July 2017 was the original rollout, not the later rationalisation date.
- **C - Incorrect:** The later tax-code commencement does not determine GST rate commencement.
- **D - Incorrect:** A meeting recommendation needs the operative notified date.

Examiner trap 13: Do not attach a single effective date to categories expressly deferred.

MCQ 14

Which dated current-rate description is safest?

A. Every supply is taxed only at 5% or 18%. B. The post-22 September 2025 broad architecture centres on 5%, 18% and a special 40%, with nil and other notified treatments for limited supplies. C. The original 12% and 28% map remains universally current. D. The Council press release alone fixes every item classification forever.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Nil, special and product-specific treatments prevent a universal two-rate claim.
- **B - Correct:** The statement preserves the broad official reform and item-specific notification caveat.
- **C - Incorrect:** The 2025 rationalisation changed the earlier general architecture.
- **D - Incorrect:** Classification and rates remain amendable through valid legal instruments.

Examiner trap 14: Use the broad dated map, not an exhaustive memorised product list.

MCQ 15

Which threshold statement is accurate?

A. Rs 40 lakh is a universal exemption for every supplier. B. Registration threshold and composition threshold are identical. C. The Rs 40 lakh goods-registration relief from 1 April 2019 is jurisdiction- and condition-specific, with lower thresholds and compulsory-registration rules still relevant. D. Crossing a threshold alone determines place of supply.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Services, specified States and compulsory categories defeat the universal claim.
- **B - Incorrect:** Composition is a separate optional compliance regime.
- **C - Correct:** The official notification must be read with adopting jurisdictions and statutory exceptions.
- **D - Incorrect:** Place of supply follows IGST rules, not the turnover threshold.

Examiner trap 15: A headline threshold is never enough without supply type, State and exceptions.

MCQ 16

The composition levy is best described as:

A. A constitutional grant to small States. B. A mandatory tax holiday below registration turnover. C. A refund mechanism for exporters only. D. An optional simplified regime for eligible small taxpayers with restrictions and altered credit treatment.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** It is a taxpayer regime, not intergovernmental finance.
- **B - Incorrect:** Registration relief and composition are legally distinct.
- **C - Incorrect:** Export zero rating uses a different mechanism.
- **D - Correct:** It simplifies payment and returns for eligible taxpayers under statutory conditions.

Examiner trap 16: Composition means simplified compliance, not ordinary GST at a discounted rate.

MCQ 17

The GST compensation guarantee under the 2017 Act was based on:

A. A 2015-16 base with 14% annual protected revenue growth for the five-year transition. B. Permanent compensation equal to 41% of Union taxes. C. A 2020-21 base with 5% growth forever. D. Only municipal property-tax losses.

Answer: A.

Option-wise explanation:

- **A - Correct:** The statutory transition formula used the stated base, growth and limited period.
- **B - Incorrect:** Forty-one per cent concerns Finance Commission devolution, not compensation.
- **C - Incorrect:** The guarantee was neither based on 2020-21 nor perpetual.
- **D - Incorrect:** It addressed defined State GST-transition revenue rather than local property tax.

Examiner trap 17: Keep base year, protected growth rate and transition period together.

MCQ 18

Which current-status statement on compensation cess is correct?

A. The five-year compensation guarantee became permanent. B. Notification 03/2025-Compensation Cess (Rate), dated 31 December 2025, made specified rates nil from 1 February 2026. C. The cess remained unchanged on all products through September 2026. D. The Finance Commission converted the cess into tax devolution.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The underlying State guarantee ended in June 2022.
- **B - Correct:** The GST Council Secretariat newsletter records the dated notified withdrawal.
- **C - Incorrect:** The February 2026 transition changed the earlier deferred tobacco position.
- **D - Incorrect:** Finance Commission devolution is constitutionally separate from the cess.

Examiner trap 18: Do not freeze the September 2025 interim tobacco status after the February 2026 notification.

MCQ 19

An inverted duty structure most directly means:

A. Output tax exceeds every input tax by definition. B. A firm has inverted its annual turnover. C. Eligible input tax rates exceed output tax rates, potentially accumulating credit. D. The tax is collected by the destination State.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** The defining relation runs from higher input to lower output taxation.
- **B - Incorrect:** Turnover direction has no role in the concept.
- **C - Correct:** Rate inversion can lock credit and create refund or working-capital issues.
- **D - Incorrect:** Destination assignment is a separate GST principle.

Examiner trap 19: Identify the input-output rate relation before discussing refund.

MCQ 20

Why can fake invoicing create systemic GST leakage?

A. It automatically raises the divisible pool. B. It converts exempt supply into export zero rating. C. It is merely a delay in State Finance Commission formation. D. A false invoice may generate wrongful ITC that travels through linked returns and suppresses output payment.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Wrongful credit reduces rather than raises genuine collection.
- **B - Incorrect:** Zero rating requires statutory export or SEZ conditions.
- **C - Incorrect:** Local fiscal institutions are unrelated to invoice fraud.
- **D - Correct:** Networked credit makes invoice authenticity central to revenue protection.

Examiner trap 20: Enforcement should distinguish deliberate credit fraud from ordinary return error.

MCQ 21

From 1 April 2026, the central direct-tax code is:

A. The Income-tax Act, 2025 with Income-tax Rules, 2026, subject to transition for earlier periods. B. Only the Income-tax Act, 1961 for all future income. C. The CGST Act, 2017. D. A GST Council recommendation without parliamentary law.

Answer: A.

Option-wise explanation:

- **A - Correct:** The new Act and Rules commenced on the stated date while preserving transition provisions.
- **B - Incorrect:** Earlier law still matters for earlier periods but is not the sole current code.
- **C - Incorrect:** CGST governs indirect tax on supply.
- **D - Incorrect:** Direct-tax legislation comes through Parliament, not Council recommendation alone.

Examiner trap 21: Law commencement and the fiscal year's rate schedule are separate facts.

MCQ 22

TDS and TCS are primarily:

A. Separate GST components on intra-State supply. B. Advance collection and information mechanisms credited toward final direct-tax liability as law provides. C. Permanent surcharges excluded from all assessment. D. Finance Commission grants to tax administrations.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** CGST and SGST are indirect-tax components.
- **B - Correct:** Withholding or collection at transaction points supports compliance and later reconciliation.
- **C - Incorrect:** TDS/TCS credit prevents automatic double final taxation.
- **D - Incorrect:** They are taxpayer obligations, not intergovernmental transfers.

Examiner trap 22: Do not add withholding to final tax twice when credit is available.

MCQ 23

Under Article 271, a Union surcharge:

A. Must be divided equally among all States. B. Can be imposed on GST under Article 246A without restriction. C. Forms part of the Consolidated Fund of India and is outside ordinary Article 270 sharing. D. Is the same as an Article 275 grant.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Equal division is not the constitutional rule.
- **B - Incorrect:** Article 271 expressly excepts GST under Article 246A.
- **C - Correct:** The Constitution assigns the whole proceeds of the surcharge to the Union.
- **D - Incorrect:** A surcharge is a levy, whereas Article 275 concerns grants.

Examiner trap 23: Surcharge proceeds are not the same as shareable net proceeds.

MCQ 24

Vertical tax devolution answers which question?

A. How the States' share is divided among States. B. Which GST item receives a 5% rate. C. How a municipality assesses property tax. D. What share of the divisible pool goes collectively to States rather than the Union?

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Inter se allocation is the horizontal stage.
- **B - Incorrect:** GST classification belongs to the Council-law-notification process.
- **C - Incorrect:** Municipal own-tax administration is outside vertical Union-State devolution.
- **D - Correct:** Vertical division allocates between levels of government.

Examiner trap 24: Vertical is between levels; horizontal is among States.

MCQ 25

Article 280 requires a Finance Commission consisting of:

A. A Chairperson and four other members appointed by the President. B. The Union Finance Minister and every State finance minister. C. Only the Comptroller and Auditor General. D. Five judges appointed by the Chief Justice of India.

Answer: A.

Option-wise explanation:

- **A - Correct:** The Constitution specifies this five-person structure and presidential appointment.
- **B - Incorrect:** That ministerial composition belongs broadly to the GST Council.
- **C - Incorrect:** The CAG certifies net proceeds but is not the entire Commission.
- **D - Incorrect:** Finance Commission membership is not a judicial bench.

Examiner trap 25: Do not transpose GST Council membership onto the Finance Commission.

MCQ 26

Article 281 requires:

A. The GST Council to approve the Union Budget. B. The President to lay the Finance Commission recommendations and an explanatory memorandum on action taken before each House of Parliament. C. Every recommendation to become self-executing law. D. The RBI to distribute the divisible pool.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The Council has no budget-approval function.
- **B - Correct:** Tabling with the action memorandum supplies transparency and accountability.
- **C - Incorrect:** Recommendations require implementation through the proper constitutional and fiscal route.
- **D - Incorrect:** RBI is not the constitutional devolution decision-maker.

Examiner trap 26: Tabling and action taken do not make every recommendation automatically binding.

MCQ 27

For 2026-27 to 2030-31, the accepted vertical devolution share is:

A. 41% of every Union receipt including cesses and borrowings. B. 42% of gross GST alone. C. 41% of net proceeds in the divisible pool. D. 50% of each State's own tax revenue.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Non-shareable levies and non-tax receipts are outside the stated base.
- **B - Incorrect:** The 42% figure belongs to the Fourteenth Commission context, not current GST alone.
- **C - Correct:** The Sixteenth Finance Commission recommendation and action memorandum specify this base and award period.
- **D - Incorrect:** State own revenue is not the denominator.

Examiner trap 27: Always attach 41% to net shareable proceeds and the 2026-31 award.

MCQ 28

Which complete Sixteenth Finance Commission weight set is correct?

A. Population 15; area 15; income distance 45; forest and ecology 10; demography 12.5; tax effort 2.5. B. Only population and tax collection, each 50. C. Area 42.5 and every other criterion 11.5. D. Population 17.5; demographic performance 10; area 10; forest 10; income distance 42.5; GDP contribution 10.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** That alternative is the Fifteenth Commission formula.
- **B - Incorrect:** The current formula balances six rather than two criteria.
- **C - Incorrect:** Neither the weights nor arithmetic match the official table.
- **D - Correct:** The six values reproduce official Table 8.8 and total 100.

Examiner trap 28: Check award period before quoting a horizontal-devolution formula.

MCQ 29

Which statement correctly distinguishes Articles 275 and 282?

A. Article 275 supports grants-in-aid of State revenues; Article 282 permits grants for any public purpose notwithstanding legislative-field limits. B. Both articles create GST rates. C. Article 282 abolishes parliamentary budget control. D. Article 275 deals only with State borrowing consent.

Answer: A.

Option-wise explanation:

- **A - Correct:** The provisions create distinct grant routes within the constitutional fiscal system.
- **B - Incorrect:** GST rates belong to the 246A/279A statutory architecture.
- **C - Incorrect:** Public-purpose authority remains subject to fiscal authorisation and accountability.
- **D - Incorrect:** State borrowing consent is principally an Article 293 issue.

Examiner trap 29: Not every grant is Finance Commission tax devolution.

MCQ 30

A State Finance Commission primarily reviews:

A. Union-State divisible-pool percentages. B. State-local fiscal relations involving Panchayats and Municipalities. C. The nationwide GST rate schedule. D. RBI monetary policy transmission.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The Union Finance Commission handles Union-State devolution.
- **B - Correct:** Articles 243-I and 243-Y anchor the State-local review.
- **C - Incorrect:** The GST Council is the federal GST forum.
- **D - Incorrect:** Monetary policy lies outside local fiscal assignment.

Examiner trap 30: A State Finance Commission is not a subordinate office of the Union Commission.

MCQ 31

Why can growing cesses and surcharges concern States?

A. They automatically increase each State's GST rate. B. They eliminate all Article 275 grants. C. They can increase gross Union tax receipts without proportionately enlarging the divisible pool. D. They are counted as State own-tax revenue.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** GST rates are not mechanically linked to Union cesses.
- **B - Incorrect:** Grant recommendations remain a separate channel.
- **C - Correct:** Article 270's exclusions can narrow the shareable base relative to gross collections.
- **D - Incorrect:** Union levies do not become State own taxes.

Examiner trap 31: Compare gross taxes with net shareable proceeds, not with a single headline collection.

MCQ 32

Which institutional matching is correct?

A. GST Council - monetary policy; Finance Commission - GST invoices; Union Budget - Supreme Court review. B. GST Council - direct tax assessment; Finance Commission - corporate regulation; Union Budget - State Finance Commission appointments. C. All three are interchangeable rate-setting bodies. D. GST Council - GST recommendations; Finance Commission - devolution and grants; Union Budget - annual fiscal estimates and authorisation process.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** RBI, tax administrations and courts perform the mismatched functions.
- **B - Incorrect:** CBDT and State constitutional processes displace the suggested pairings.
- **C - Incorrect:** Different constitutional anchors prevent institutional interchangeability.
- **D - Correct:** The match preserves each institution's constitutional and operational role.

Examiner trap 32: Name the institution, legal output and implementation route separately.

PYQS AND ANSWER PRACTICE

OFFICIAL-KEY DISCIPLINE

The two Mains items below are verified routed demands and receive original model solutions, never an invented official answer. Objective routes are retained as audit cards without an answer letter unless a legible local official key and exact printed question are both available.

VERIFIED ROUTED MAINS PYQ 1 - 2019 GS-III

Demand: Enumerate the indirect taxes subsumed in GST and explain the revenue implications. (10 marks, 150 words.)

Status: Verified routed demand; the solution below is original, not an official UPSC model.

Model solution: GST subsumed several Union levies on covered supplies, including service tax, specified central excises, additional excises, countervailing duty and special additional duty, and relevant supply-related cesses. At State level it absorbed VAT or sales tax, Central Sales Tax as collected, purchase tax, entry or octroi, luxury tax, specified entertainment tax and taxes on lotteries, betting and gambling. The resulting destination-based value-added chain reduced cascading and internal border friction through input-tax credit and IGST settlement. However, basic customs duty, stamp duty, electricity duty, property tax and State excise on alcohol for human consumption remain outside; specified petroleum products await the constitutional Council-recommended date. Revenue effects therefore combine a broader common base and improved invoice trails with transition losses, refunds, compliance costs and a

shift from producing to consuming jurisdictions.

VERIFIED ROUTED MAINS PYQ 2 - 2020 GS-III

Demand: Explain the GST Compensation to States Act, 2017 and the fiscal-federal challenge created by COVID-19. (15 marks, 250 words.)

Status: Verified routed demand; the solution below is original, not an official UPSC model.

Model solution: The 2017 Act protected defined State revenue for five years after GST, using 2015-16 as the base and 14 per cent annual growth. A compensation cess on specified demerit and luxury goods financed the fund. COVID-19 simultaneously reduced collection and enlarged the protected shortfall, exposing a mismatch between statutory claims and available cess proceeds. Back-to-back Union borrowing transferred resources to States, while cess collection continued beyond June 2022 to service the borrowing. The compensation entitlement itself nevertheless remained a time-bound transition guarantee, not permanent devolution. Later tax redesign must be dated separately: the GST Council Secretariat records that Notification 03/2025-Compensation Cess (Rate), dated 31 December 2025, made specified cess entries nil from 1 February 2026. The episode shows why federal reforms need transparent baselines, shock-financing rules, independent reconciliation and a credible sunset.

OBJECTIVE PYQ ROUTING - KEY WITHHELD WHERE NOT LOCALLY VERIFIED

Year / paper	Routed official-paper demand	Key discipline
2018 Prelims GS-I Q8	Equalisation levy on specified non-resident online-advertising services	No answer letter inferred
2018 Prelims GS-I Q97	Items exempted under GST	No answer letter inferred
2022 Prelims GS-I Q8	Indian taxation of indirect transfer of shares/assets	No answer letter inferred
2023 Prelims GS-I Q29	Fifteenth Finance Commission horizontal criteria	No answer letter inferred
2025 Prelims GS-I Q66	Fifteenth Finance Commission propositions including 41%, grants and tax effort	Local key extraction is not sufficiently legible; no letter inferred
2025 Prelims GS-I	Agricultural-income and rural-agricultural-land statutory boundaries	Route retained; no letter inferred

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish statutory and economic tax incidence and explain why the distinction matters for equity. Answer in 150 words.

Model answer:

Tax incidence has two layers. Statutory incidence identifies who must remit a tax; economic incidence identifies whose real income falls after prices, wages and returns adjust. A GST-registered seller remits tax, but consumers, workers or owners bear it according to elasticities, market power and adjustment time.

This distinction changes equity analysis. A consumption tax may absorb more of a poor household's income, while a corporate levy may partly shift through wages or prices. Transfers can offset or reinforce the burden.

Therefore, progressivity cannot be inferred from the statutory rate or taxpayer name. Analysis must identify the legal base, trace shifting and assess the tax-and-transfer outcome. However, incidence estimates vary by market structure and time horizon; they are evidence-based distributions, not fixed labels.

Native-body word count: 141 / 150.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain how input-tax credit and destination-based IGST jointly support a common market. Answer in 150 words.

Model answer:

GST combines input-tax credit with destination-based IGST. An eligible registered person offsets tax paid on business inputs against output liability, so net payment approximates tax on value added. This limits cascading and supports invoice reporting, subject to eligibility and documentation.

For inter-State supplies, Article 269A authorises Union levy and collection of IGST, while credit and settlement rules transfer revenue toward the destination. Supplies can cross State borders without breaking credit at each border or assigning tax to the producing State.

Together, these mechanisms support a common market through neutrality and destination assignment. However, blocked credits, exempt links, place-of-supply disputes, delayed refunds and fraud can weaken that result. The architecture reduces fiscal barriers; it does not guarantee frictionless trade without sound administration and prompt settlement.

Native-body word count: 143 / 150.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 3 - 15 MARKS

Question: Analyse the constitutional balance between the GST Council's harmonising role and legislative autonomy after Mohit Minerals. Answer in 250 words.

Model answer:

The GST Constitution combines shared coordination with legislative autonomy. Article 246A gives Parliament and State legislatures simultaneous GST power, while Parliament has exclusive power over inter-State supplies. Article 279A creates the GST Council to recommend rates, exemptions, model laws, thresholds and place-of-supply principles. Its weighted voting gives one-third to the Union and two-thirds collectively to States, with a three-fourths decision threshold.

In *Union of India v Mohit Minerals Pvt Ltd*, decided on 19 May 2022, the Supreme Court held that Council recommendations have persuasive value but are not binding on Union and State legislatures. Binding recommendations would dilute the simultaneous authority conferred by Article 246A. Yet the Court recognised that GST depends on dialogue and cooperative federalism.

This balance supports harmonisation without creating an extra-constitutional legislature. Common recommendations reduce trade barriers, classification divergence and compliance costs; retained legislative accountability preserves democratic choice. However, persistent divergence could fragment credit and settlement even when constitutionally permissible.

Thus, non-binding does not mean irrelevant. Council consensus needs transparent data, reasoned recommendations, valid legislation and clear notifications. Judicial review and legislative autonomy remain safeguards, while political cooperation makes the system work. GST is negotiated harmonisation, neither Union command nor unrestricted State tax competition.

Native-body word count: 217 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 4 - 15 MARKS

Question: Examine GST compensation as a problem of transition design and fiscal-federal trust. Answer in 250 words.

Model answer:

The GST (Compensation to States) Act, 2017 created transition insurance, not ordinary devolution. It protected defined State revenue for five years from GST rollout, using 2015-16 as the base and 14 per cent annual protected growth. A cess on specified luxury and demerit goods financed the fund, reducing the perceived risk of surrendering State indirect-tax bases.

COVID-19 exposed the design's financing weakness. Collections fell while protected claims continued, creating a gap. Back-to-back Union borrowing transferred resources to States, and cess collection continued beyond the original period to service that liability. The compensation entitlement ended in June 2022; loan servicing and cess continuation were distinct.

Exit also required date discipline. The GST Council Secretariat recorded that Notification 03/2025-Compensation Cess (Rate), dated 31 December 2025, made specified pan-masala and tobacco entries nil from 1 February 2026 alongside revised GST treatment.

The episode yields three lessons: federal reforms need credible transition insurance; shock-financing responsibilities should be specified beforehand; and recommendations, statutory entitlement, borrowing and notified levy must remain distinct. Permanent compensation could weaken reform incentives, but abrupt withdrawal can damage trust. Future transitions should combine transparent baselines, independent reconciliation, time-bound support and a pre-announced exit linked to measurable liabilities.

Native-body word count: 216 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 5 - 20 MARKS

Question: Discuss how the Sixteenth Finance Commission balances equalisation, incentives and fiscal autonomy. Answer in 250 words.

Model answer:

The Sixteenth Finance Commission's award covers 2026-27 to 2030-31. Its accepted vertical recommendation retains States' collective share at 41 per cent of net proceeds in the divisible pool. This supports continuity, but Article 271 surcharges and specific-purpose cesses remain outside that base; 41 per cent is not a share of gross Union receipts.

Horizontal distribution combines equity and incentives. Official Table 8.8 assigns 42.5 per cent to per capita GSDP distance, 17.5 per cent to 2011 population, and 10 per cent each to demographic performance, area, forest and State contribution to GDP. Income distance advances equalisation; area and forest recognise cost and ecological constraints; demographic performance and GDP contribution reward outcomes and contribution.

The Commission recommended no revenue-deficit, sector-specific or State-specific grants. It recommended Rs 7,91,493 crore in local-body grants, with entry conditions concerning duly constituted bodies, public accounts and regular State Finance Commissions. Conditions may improve accountability, but delayed compliance can deprive weak local bodies.

No formula removes distributive conflict. Richer States seek stronger contribution incentives, while poorer States stress comparable service capacity. Cesses may narrow untied space despite a stable vertical percentage. The award is negotiated equalisation: untied devolution should remain central, CAG-certified net proceeds should strengthen trust, and conditional grants should serve verifiable national or local-governance objectives.

Native-body word count: 234 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 6 - 20 MARKS

Question: Differentiate the Finance Commission, GST Council and Union Budget, and assess how their interaction shapes fiscal federalism. Answer in 250 words.

Model answer:

India's fiscal architecture uses three distinct constitutional processes. The GST Council under Article 279A recommends harmonised GST rates, exemptions, thresholds and place-of-supply principles. Its recommendations coordinate governments but, after Mohit Minerals, are not binding legislation.

The Finance Commission under Article 280 is periodically constituted by the President. It recommends vertical distribution of shareable Union taxes, horizontal allocation among States, Article 275 grant principles and measures to augment State funds for local bodies. Article 281 requires its report and action-taken memorandum to be laid before Parliament. The accepted Sixteenth Commission share for 2026-31 is 41 per cent of the divisible pool.

The Union Budget is the annual fiscal-authorisation process. It estimates receipts, proposes legislated tax changes and authorises expenditure subject to Parliament. It provides yearly resources for accepted transfers, but cannot convert a non-shareable cess into Finance Commission devolution without legal change.

Their interaction shapes trust. Council choices influence State GST revenue; Finance Commission transfers address vertical and horizontal gaps; the Budget supplies annual provisioning and disclosure. Confusion arises when a Council statement is treated as law, a Commission recommendation as self-executing, or a Budget announcement as constitutional devolution. Cooperative federalism therefore requires role clarity, reliable data, timely settlement, transparent net-proceeds certification and respect for both harmonisation and State accountability.

Native-body word count: 228 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.